



Image 9.4 – Credit Put Spread in Bharti Airtel

The above image shows an example of a credit put spread.

On 28-July-2021, the price displayed a clear rejection at IB low. Besides, it also showed a "bullish harami + hammer" pattern. Hence, there is a higher probability that the price will witness a positive close for the day.

Hence, a trader can plan credit put spread to make some profits.

Bharti Airtel (spot) price at 11.00 AM is 541

- Sell 545 PE at 11.00 AM at 5.5 (main position)
- Buy 535 PE at 11.00 AM at 0.8 (hedge position)

Approx 50,000-60,000 is the required margin to execute this strategy, and this strategy gives the margin benefit of 200,000 (as compared to naked option selling of 545 PE).